Conference Call Notes: USMCA Update

送信者: EG United States 受信日時: 2026-10-16 06:01

【要点】

・USMCAは形式上は存在し続けるが機能しない「ゾンビUSMCA」が2029年1月まで続く可能性が80%である一方、新たな三国間協定と完全な崩壊の可能性はそれぞれ10%と予想されている。

・メキシコは年末までにセクション232関税の軽減を確保する可能性が65%であるのに対し、カナダは40%である。

・自動車などの産業別関税が主な不確実性の要因となるが、米国が2027年1月のカナダ自動車への50%関税脱却の脅しを実行する可能性は低い。

・トランプ政権は協定を放棄するインセンティブがなく、消費者コストが大幅に上昇するため、現状維持が続く見込みである。

【メール原文】

This is an AI-generated summary based on the call transcript. A full transcript and recording of this call are available in the portal. You can access

Conference Call Note
Customize Email Preferences

USMCA Update

15 Oct 2026 16:58 EDT Listen to the recording

*
Eurasia Group places the odds of "Zombie USMCA" persisting through January 2029 at 80%, compared with 10% each for two lower-probability scenarios: a new trilateral agreement and a full breakdown of the US-Mexico-Canada Agreement (USMCA).
*
Mexico, at 65% odds, is more likely than Canada, at 40%, to secure Section 232 tariff relief by year-end through a limited trade deal with the US.
*
Sectoral tariffs, especially those on autos, will remain the main source of trade uncertainty, though the US is unlikely to carry out its threat to impose 50% tariffs on Canadian autos in January 2027.

This is an AI-generated summary based on the call transcript. A full transcript and recording of this call are available in the portal. You can access other Eurasia Group conference calls through a personalized link for select podcast readers here .

Recent Research

North America: Zombie USMCA will endure through Trump’s term, 7 October 2026

Speakers

*

Noah Daponte-Smith, Senior Analyst, United States, Eurasia Group

*

Graeme Thompson, Senior Analyst, Global Macro, Eurasia Group

*

Matias Gomez Leautaud, Senior Analyst, Mexico, Eurasia Group

Base Case: Zombie USMCA Through 2029

Eurasia Group has extended its North American trade outlook through the end of President Donald Trump's term in January 2029, assigning an 80% probability to a "Zombie USMCA" scenario in which the agreement remains formally in place but no longer functions as a genuine free trade framework. Under this scenario, Section 301 tariffs remain in place for Canada and Mexico but most USMCA-compliant goods retain their exemptions. Section 232 tariffs on autos, steel, aluminum, and lumber will also persist, without USMCA exemptions.

The Trump administration has little incentive to abandon the agreement, as doing so would significantly increase costs for US consumers. At the same time, the current tariff framework carries limited domestic political costs, reducing incentives for the White House to relax its tariff stance. As a result, the status quo is likely to remain broadly stable through the end of Trump's term, although sectoral tariffs will continue to generate uncertainty.

Eurasia Group assigns a 10% probability each to a new trilateral agreement and a breakdown of USMCA, either through a US withdrawal or the removal of most tariff exemptions.

Effective Tariff Rates: North America Remains Least Disfavored

Despite the tariff architecture, Canada and Mexico face effective tariff rates of roughly 7–8% on goods entering the US — well below the 12–15% range facing most other trading partners, and far below China (approximately 80% of goods entering with tariffs applied). Less than 25% of Canadian and Mexican goods currently face any US tariff. The forward-looking risk is concentrated in the small subset of goods subject to sectoral tariffs, not the broader USMCA-compliant universe.

Canada: Political Deadlock Limits Near-Term Deal Prospects

Eurasia Group places 40% odds on a US-Canada limited deal (focused on Section 232 reductions and bilateral trade irritants) by year-end. The August breakdown has narrowed the space for compromise. Prime Minister Mark Carney's decision to walk away from talks drew approximately 80% approval in Canada, with majorities in all provinces, and he would pay a significant political price for appearing to capitulate. Neither Carney nor Trump has a near-term incentive to move first.

The auto sector is the key question for any deal. If Carney can secure better terms on Section 232 auto tariffs that he could sell to Ontario Premier Doug Ford, a deal becomes conceivable. However, public opinion has hardened since August, making even the August terms less politically viable today. The Trump threat of 50% tariffs on Canadian autos on January 1 is assessed as a forcing mechanism unlikely to be executed.

Ottawa will not escalate. Its counter-tariffs are designed to protect domestic industries from competitive disadvantages, not to antagonize Washington. The Quebec provincial election (Parti Québécois winning

a minority government with 28% of the vote) will complicate Carney’s position on the margin, given the political imperative of showing benefits for Quebec in terms of tariff relief on aluminum exports and protections for the dairy and cultural industries, but does not fundamentally alter Canada's negotiating position.

On the longer-term structural side, Canada is actively diversifying trade — the Trans Mountain Pipeline now moves approximately 900,000 barrels per day to the Pacific; LNG exports to Asia have begun. Three domestic policy pillars support this: a productivity mega deduction tax credit, the Building Canada Act (Major Projects Office), and Bill C39 (one project, one review, one year).

Mexico: Better Positioned, But Not a Done Deal

Eurasia Group assigns a 65% probability to Mexico securing a limited Section 232 tariff deal by year-end, down from 80% previously. The revision reflects slower-than-expected progress in negotiations rather than a deterioration in bilateral relations. President Claudia Sheinbaum’s administration has made significant progress in addressing more than 54 non-tariff trade barriers identified by the US and is advancing legislation to establish a foreign investment screening mechanism modeled on the Committee on Foreign Investment in the United States (CFIUS). The measure would strengthen oversight of Chinese investment and inputs entering Mexico, addressing a longstanding US concern over potential transshipment.

Energy remains one of the most significant unresolved issues. Washington continues to press Mexico to reduce preferential treatment for state-owned Pemex and CFE and expand cross-border energy infrastructure. Sheinbaum is seeking to address these concerns through regulatory adjustments rather than fundamental changes to Mexico's state-centered energy framework. However, these concessions may fall short of US demands, making energy a persistent source of bilateral friction even if both countries reach a limited tariff agreement.

A deal would allow Sheinbaum to present her pragmatic approach to US trade pressures as a success and strengthen her efforts to attract investment. However, it would not resolve broader trade tensions, as annual USMCA reviews will continue to provide Washington with opportunities to pressure Mexico throughout the remainder of Trump's term.

Sectoral Focus: Autos as the Crux

Auto tariffs, particularly rules of origin and regional value content (RVC) requirements, remain a central issue in negotiations with both Mexico and Canada. The US is pushing to raise the RVC threshold for autos from 75% to around 82–85%, while also seeking greater clarity on how these requirements are calculated. Mexico increasingly recognizes that concessions on autos may be necessary to protect other manufacturing sectors from stricter requirements. For Canada, securing more favorable auto tariff terms, particularly for Ontario's auto industry, will be essential to reaching a politically viable agreement.

Steel and aluminum tariff relief is more achievable than an agreement on autos in both countries, particularly as Mexico has strengthened efforts to improve steel traceability. However, a deal limited to steel and aluminum would be politically difficult for Canada without concessions on autos.

Given the highly integrated nature of North American auto supply chains, differences in tariff treatment between Mexico and Canada would create additional costs and uncertainty for producers. A scenario in which Mexico secures an agreement while Canada does not could therefore complicate regional production and increase pressure on Ottawa to accept terms already negotiated with Mexico.

Key Watch Items

1.
January 1 auto tariff deadline (Canada): Whether the threatened 50% tariff on Canadian autos materializes — or is used as leverage to restart talks.
2.
Resumption of US-Canada ministerial negotiations: A necessary precondition for any deal; currently not occurring.
3.
Mexico 232 deal timeline: Whether talks close before year-end or slip to Q1 2027; the latter is assessed as roughly a 35% probability.
4.
RVC threshold negotiations: Whether the US pushes increased regional value content requirements beyond autos into other manufacturing sectors.
5.
Mexico energy concessions: Whether Sheinbaum's regulatory adjustments satisfy US demands on PEMEX/CFE or whether energy becomes a deal-breaker.
6.
Implementation risk on any signed deal: Whether commitments — particularly by Mexico — are judged by the US as being met, given that signing and implementing are distinct steps.

What Clients Are Asking

Mexico deal timing and US midterm linkage: Clients asked whether the US sees the midterms as a deadline for a Mexico deal. Speakers assessed this as unlikely — the midterms are too close to allow a deal, and a Mexico agreement would not materially improve Republican electoral fortunes.

RVC threshold increases: Clients raised reports of US requests to raise auto RVC thresholds to the 82–85% range. Speakers confirmed this is live, noting Mexico is likely to accept some concession on autos while trying to shield other sectors from equivalent thresholds; the US position traces back to its original USMCA ask of 85–90%.

Chinese EVs entering Canada: Clients asked whether Chinese EV imports into Canada (approximately 49,000 units this year, rising to 70,000 over five years) concern the US Speakers assessed this as an irritant but not a red line — the vehicles cannot be re-exported to the US. Chinese automaker investment in Canadian production facilities would be a red line, but is viewed as a fallback/leverage tool rather than a likely outcome.

Republican political pressure on Canada tariffs: Clients noted Republican discontent — citing a Michigan Senate candidate's public criticism of Canada tariffs — and asked whether this translates into policy change. Speakers assessed the impact as minimal; the administration views swing-state candidates expressing local concerns as compatible with maintaining a tough overall posture.

Critical minerals: Clients asked about the prospects for critical minerals chapters in bilateral or trilateral agreements. Speakers noted a US-Mexico working group was announced earlier in the year but has not advanced significantly; Canada has been holding back on multilateral mineral collaboration to preserve leverage in bilateral talks. Congressional approval was assessed as unlikely to be required, given how deals would likely be structured.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

Noah Daponte-Smith
Senior Analyst, United States
daponte-smith@eurasiagroup.net
Matias Gomez Leautaud
Senior Analyst, Mexico
gomezleautaud.ne@eurasiagroup.net
Graeme Thompson
Senior Analyst, Global Macro
+1 202.540.5137
thompson@eurasiagroup.net
EG United States
unitedstates@eurasiagroup.net
EG Mexico
mexico@eurasiagroup.net
EG Canada
canada@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmva01zr8jnq007mwmgk0s8rn

Opt Out | Customize Email Preferences